

SnP First Half 2026 report

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Freight Follows Geopolitics, Values Follow Opportunity

LNG Sale & Purchase Review – First Half 2026

Executive Summary

The first half of 2026 has been one of the more unusual periods seen in the LNG market almost on par with Fukushima and the Russia-Ukraine energy shock. Freight markets, asset values and shipping fundamentals all appear to be telling different stories.

On the freight side, charter rates remained considerably stronger than most expected entering the year. Atlantic Basin two-stroke vessels spent much of Q2 earning in excess of USD 90,000/day while Pacific employment generally hovered around USD 80,000/day, supported by Middle Eastern disruption, elevated gas prices and a reshuffling of global LNG trade flows. At face value, the market looked remarkably resilient.

Under the surface, however, we see the fundamentals have become progressively softer. Global LNG loadings declined during Q2, fleet growth remained close to record levels, and visible idle tonnage began to build, particularly among older steam turbine vessels. Twenty-one LNG carriers were delivered during the quarter, bringing the global fleet to approximately 760 vessels, while the orderbook remains around 38% of the existing fleet. Approximately twenty vessels were observed idle off Labuan and a further group around the Malacca Strait, illustrating that utilisation pressure is becoming increasingly visible.

Ordinarily, a market characterised by declining cargo volumes, rising fleet supply and increasing idle tonnage would be expected to experience significant downward pressure on vessel values.

Yet that has not happened.

Instead, LNG asset values have remained surprisingly resilient, with transaction activity spread across modern DFDE and TFDE tonnage, older steam turbine ships, demolition candidates and infrastructure-linked opportunities. The central conclusion from H1 2026 is therefore that the LNG asset market is no longer being driven primarily by current earnings. Instead, it is increasingly being driven by future opportunity.

Or put differently:

Freight follows geopolitics. Values follow opportunity.

Shipping Fundamentals Are Softer Than the Headline Freight Market Suggests

The LNG shipping market began the year expecting oversupply. That view has not fundamentally changed.

Global LNG loadings during Q2 totalled approximately 101 million tonnes, down from Q1 and modestly below the same period last year. Freight rates remained elevated mainly because trade patterns became less efficient rather than because cargo volumes increased. Middle Eastern disruptions altered vessel positioning, increased uncertainty and redirected a greater proportion of Atlantic cargoes towards Asia, supporting tonne-mile demand despite falling volumes.

One of the more important observations from the market during the period was the growing divergence between modern and legacy tonnage. Two-stroke vessels continued capturing the majority of attractive employment opportunities. Modern DFDE vessels also remained highly competitive, benefiting from fuel efficiency and broad commercial accep-

tance. Older steam turbine ships, meanwhile, increasingly appeared on the wrong side of the moon, where utilisation has evaporated together with the corresponding freight rates.

This has resulted in an increased focus on what owners need to consider doing with their aging vessels.

The Asset Market Is Looking Beyond Today's Freight Environment

Historically, LNG carrier values tended to move broadly in line with earnings expectations. Strong freight markets supported asset values and weak freight markets results in increased supply of tonnage to the market.

That relationship appears significantly weaker today.

The LNG market currently possesses several characteristics that would normally undermine second-hand values:

- Cargo volumes are lower.
- Fleet growth is substantial.
- Idle tonnage is growing.
- The orderbook remains elevated.
- Steam turbine competitiveness is virtually non-existent.

And yet transaction activity remains healthy.

The explanation lies in optionality.

Buyers are increasingly evaluating LNG carriers not simply as transportation assets but as assets capable of fulfilling multiple future roles. A vessel purchased today may continue trading conventionally (155cbm+), become a floating storage unit or conversion candidate (project-dependent 145-174k cbm), or support regional LNG logistics. These potential outcomes provide a value floor that is less dependent on today's or tomorrow's freight market.

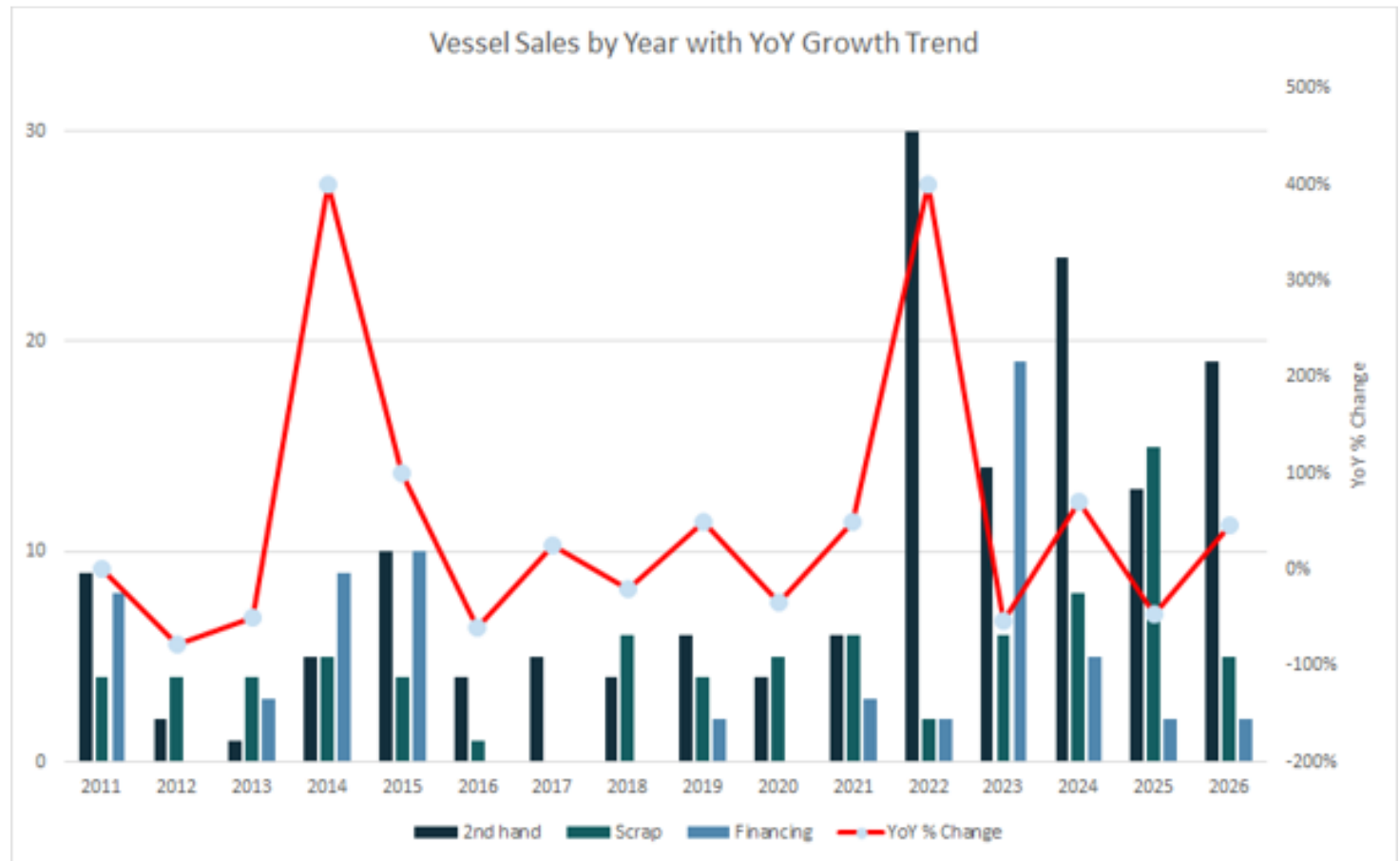
As a result, the market is increasingly assigning value to possibilities rather than current earnings.

First half of 2026 tells an interesting story about transactions

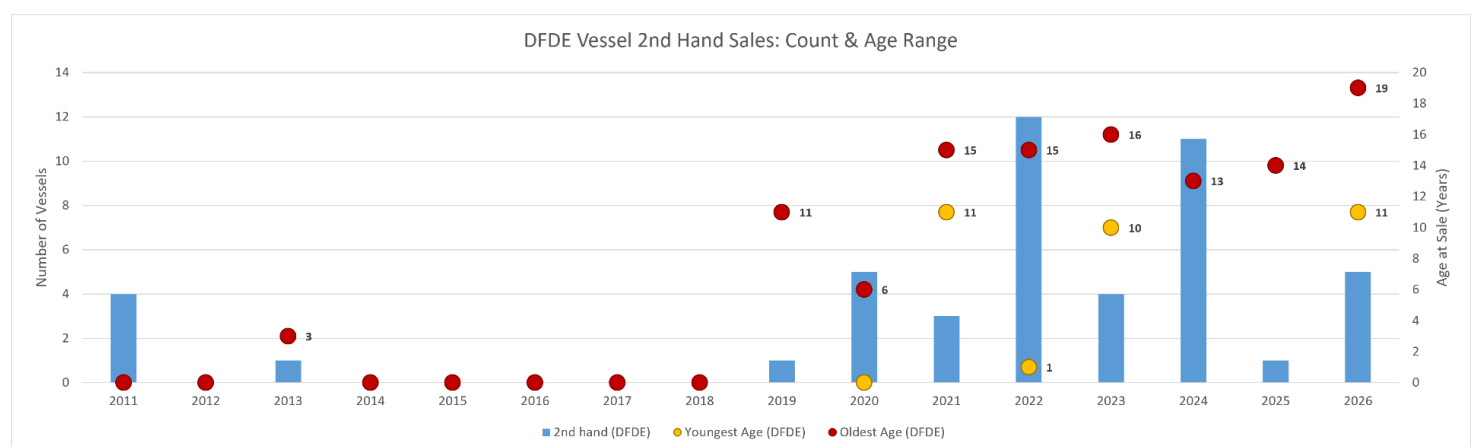
The transaction list from the first half of 2026 provides a surprisingly clear picture of buyer preferences.

The first half of 2026 has been relatively hectic when looking at the number of transactions reported. Compared to 2025, there are 6 more vessels reported in the 2nd hand market, whilst the recycling space has till now, fallen behind with only 5 concluded sales. The drop in recycling activity just shows how a little hope in the form of higher freight rates gives Owners a (false) outlook for their older ladies.

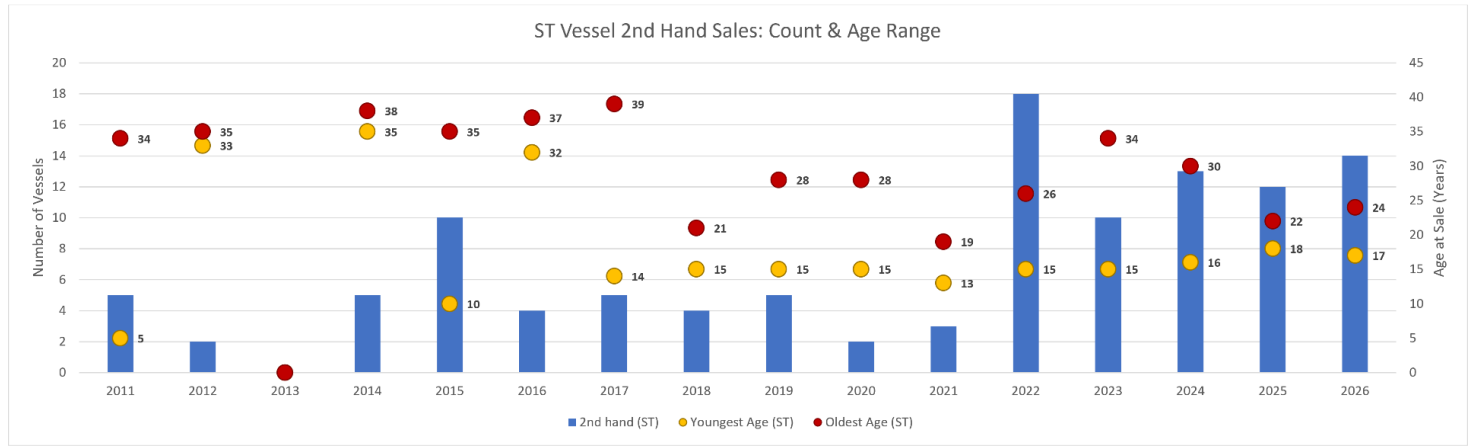
Vessels sold and trendline



When digging into the details it is most notable that relatively few genuinely modern vessels have changed hands till date. The standout transactions that have been reported in the 2013-2015-built TFDE market seem to have been sold above the USD 110 million mark. These sales highlight the continued appetite for younger, larger and operationally flexible assets. There is also a continued demand for older DFDE and TFDE tonnage destined for specific trade or projects. What is notable is that older tonnage is transacting below the USD 100 million mark, ranging from USD 65-95 million. The range in rate is also a function of vessel age, but the origin of the buyer is also playing a significant role.



At the other end of the spectrum, the market remained remarkably active for ageing steam turbine vessels. It is noticeable that a large number of these units have been sold to unknown buyers, but we will get more into that further on in the report.



Remarkably, many of these transactions involved vessels between 19 and 22 years of age. In most shipping sectors, such vessels would sit firmly within the demolition age profile. Yet LNG continues to be different.

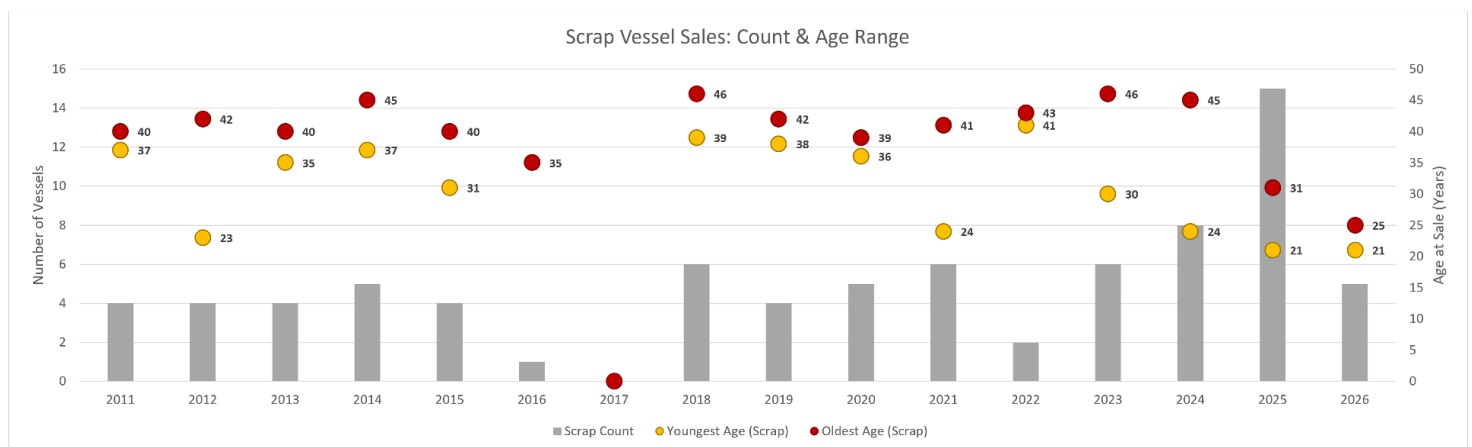
What is particularly interesting is that buyers appear to be focusing on a relatively narrow capacity range. Most of the sales occurred in the 145,000–155,000 cbm segment. This aligns with growing evidence that buyers increasingly value storage capacity and conversion suitability significantly higher than any potential freight earnings.

By contrast, vessels below approximately 140,000 cbm appear to be becoming increasingly difficult to place. Current fleet demographics show around 55 vessels remain in the 120,000–140,000 cbm segment, a size category that appears increasingly unattractive both as trading assets and conversion candidates. This is reflected in the graph below, showing the 5 vessels sold for recycling thus far in 2026.

The Great Steam Turbine Reckoning

The steam turbine fleet is approaching a pivotal moment.

The global LNG fleet today contains approximately 183 steam turbine vessels, of which more than 80 are already older than twenty years. Fifteen vessels have surpassed thirty years of age. Under normal market conditions, these demographics would imply a substantial demolition cycle.



Some vessels continue finding buyers. Others remain employed in niche trades. A number appear increasingly likely to move towards infrastructure-linked opportunities. The result is that the fleet is ageing faster than it is disappearing.

The LNG sector therefore faces a situation where vessel competitiveness is deteriorating more quickly than fleet capacity is being removed.

From an S&P perspective, this creates opportunities.

Many ageing steam turbine vessels are no longer being evaluated as conventional shipping assets. They are increasingly being evaluated based on their residual optionality. For some vessels that optionality lies in conversion potential. For others it lies in regional LNG logistics or long-term storage applications. For a growing number, however, the market appears to be concluding that demolition remains the most likely outcome.

The Buyer Universe Is Expanding

One of the less discussed but increasingly important developments of the first six months of 2026 has been the evolution of the buyer universe.

Historically, LNG asset transactions were dominated by a relatively small group of specialist LNG shipowners.

Today, the range of buyers appears considerably broader.

The market now includes:

- Traditional LNG shipowners.
- Infrastructure investors.
- LNG-to-power developers.
- Conversion-focused buyers.
- Strategic storage participants.
- Domestically-linked opportunities
- Buyers pursuing opportunities linked to future energy infrastructure.

And of course, we cannot ignore the strong presence of buyers linked to **"He-Who-Must-Not-Be-Named."**

Market observers increasingly associate several ageing LNG carrier acquisitions with opaque ownership structures and alternative employment strategies. The pattern is becoming known for this type of transaction, where an unknown entity typically buys the vessel, skips-hops a few intermediaries and flags, and ultimately ends up under sanctioned entities and flags. Whether these vessels ultimately participate in conventional trading, specialised logistics or other activities is less important than the fact that they represent a genuine source of demand.

From an S&P perspective, additional buyer categories almost always support values.
That appears to be prevalent today.

The Optionality Premium Is Becoming Real

One of the most important conclusions so far in 2026 is the emergence of what can legitimately be described as an **optionality premium**.

Vessels are no longer valued solely on projected freight earnings.

Instead, buyers increasingly assess:

- Trading optionality.
- Conversion optionality.
- Infrastructure optionality.
- Storage optionality.
- Geographic optionality.

This framework explains many of the apparent contradictions currently visible in the LNG market.

- It explains why twenty-year-old vessels continue changing hands.



- It explains why values remain stable to firming, despite weaker utilisation.
- It explains why buyers remain focused on larger vessels above 145,000 cbm.

Most importantly, it explains why the LNG asset market appears considerably more optimistic than the freight market.

But what it doesn't take into consideration is, **"Should I try to sell now to get out?"**

We believe that when pairing the S&P paradigm to the general market observations, serious consideration for exiting older tonnage, even below current market levels, may be a strategically strong position to take.

Outlook

Our base case remains that the shipping market itself remains fundamentally oversupplied through much of 2028. Add the fact that by end 2028 we'll have another 150+ 2-strokes in the market, STs and DFs alike become even less attractive.

When today's geopolitical disruptions ease, freight markets could soften relatively quickly. Fleet growth remains substantial, Qatar's expansion delays pushing incremental demand further into the future, and visible utilisation pressure already exists among older tonnage.

The asset market, however, is clearly focused on a different horizon.

Many buyers appear to be positioning for the next major wave of LNG supply growth expected between 2028 and 2030. Whether they ultimately prove correct remains to be seen.

For now, the first half of 2026 has demonstrated that LNG carriers are increasingly being valued not for what they earn today, but for what they might morph into tomorrow.

We believe that that is the defining investment theme of this cycle.

Remember, if you are there to sell your assets, come talk to us!



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